India & Laos: Building Bridges, Expanding Opportunities, Shaping a Shared Future

FOREWORD

Laos occupies a distinctive position within Southeast Asia's economic landscape small in market size, yet strategically placed at the heart of the Greater Mekong Subregion, bordering China, Vietnam, Cambodia, Thailand and Myanmar. Its hydropower potential, mineral resources and expanding network of special economic zones give it long-term relevance well beyond what its population or GDP alone would suggest. At the same time, a prolonged period of currency depreciation, high inflation and elevated public debt has constrained the pace and predictability of economic activity, shaping a landscape in which genuine opportunity and genuine caution sit side by side.

India and Laos share a longstanding relationship, marked in 2026 by seventy years of diplomatic ties, rooted in shared Buddhist heritage and a steadily expanding agenda across agriculture, healthcare, energy, digital infrastructure and education. Laos has traditionally looked to India for pharmaceuticals, technical training and capacity building, while India's engagement reflects its wider Act East Policy and interest in deepening ties across the Mekong region as a gateway to ASEAN.

Trade between the two countries remains modest relative to its potential, anchored today in Indian pharmaceutical exports against a narrow set of Lao exports concentrated in precious metals, timber products and select minerals. Categories where genuine complementarity exists agricultural machinery, auto components, agro-processing equipment and renewable-energy technology remain largely untapped.

Looking ahead, the paper sets out a practical set of initiatives through which CCI India can support Indian businesses in engaging with Laos whether through structured B2B matchmaking, institutional dialogue with the Lao National Chamber of Commerce and Industry and the Embassy of the Lao PDR in India, or early-stage sector missions that can be scaled as trade infrastructure and market familiarity deepen. In doing so, CCI India aims to ensure that Indian industry is well positioned to participate in Laos's economic diversification, while remaining realistic about the sectors, formats and pace at which that engagement can responsibly proceed.



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LAOS

> Aland ofgentlerivers and golden temples, where time flows softly and traditions whisper peace into everyday life, embracing a quiet beauty shaped by faith, nature.



Basic Facts, Population, and Currency

The Lao People's Democratic Republic (Lao PDR), or Laos, is a landlocked nation in Southeast Asia, bordered by Myanmar, China, Vietnam, Cambodia, and Thailand.

As of 2025, the total population of Laos is estimated to be around 7.77 million. persons. The capital and largest city is Vientiane . The official currency of Laos is the Lao Kip which is non-convertible and primarily used for local transactions, although US Dollars and Thai Baht are also widely accepted in major cities and tourist areas.

Economy, GDP, and Strategic Diversification

The economy of Laos is classified as a lower-middle-income economy and has long depended on its rich natural resources. Key drivers of growth include agriculture, mining, and hydroelectric power, along with a rapidly growing tourism sector. The country is also working to shift from being “land-locked” to “land-linked” through major infrastructure projects. By 2025, Laos’ nominal GDP is projected to reach about $18.3 billion, with an expected growth rate of around 4.5%, though challenges such as inflation, exchange rate fluctuations, and external debt may slow progress. The government is also introducing reforms to attract investment and improve public-private partnerships.

Bilateral Trade with India (2025)

The bilateral trade between India and Laos remains modest but is showing signs of growth. While comprehensive annual bilateral trade data for the entire 2025 fiscal year is still forthcoming, recent trends indicate a positive movement. The total bilateral trade value for the fiscal year 2023-24 was reported at $112.6 million (not in billions, but millions), with India's imports at $99.7 million and India's exports at $12.9 million. This represented a growth of 23.4% over the previous year.

Culture and Heritage

Laos' culture and heritage are deeply influenced by its long history, Buddhist traditions, and close connection to nature. Theravada Buddhism plays a central role in daily life, shaping values such as simplicity, respect, and spiritual harmony. The country is known for its serene temples, traditional wooden architecture, and cultural practices like almsgiving ceremonies. Classical dance, music, and handicrafts such as weaving and pottery reflect the artistic legacy passed down through generations.

Key Players and Products in India-Laos Trade

India's Exports to Laos:
It is primarily driven by value-added products and include:

- **Key Products:** Pharmaceutical products, vehicles, machinery and mechanical appliances.
- **Key Players/Sectors:** The Indian Pharmaceuticals Sector is a dominant player, along with manufacturers of electrical and engineering goods. India has also accorded the Duty-Free Tariff Preference Scheme to Laos, granting duty-free access for a large majority of Laotian products, which aims to boost trade.

India's Imports from Laos (Key Products & Players)

India's imports from Laos are mainly composed of natural resources and raw materials:

- **Key Products (Recent Trends):** Precious Metals and articles thereof (notably Gold), and Wood/Wood Articles (such as Plywood and Allied Products).
- **Key Players/Sectors:** The Mining and Precious Metals Sector in Laos, along with the Wood and Forestry Sector, are the principal exporters to India.



India and Laos share a long-standing and friendly relationship built on deep historical and civilizational ties. These connections are strongly rooted in a shared heritage of Buddhism and the influence of the Ramayana, which is known locally in Laos as the Phra Lak Phra Lam.
Economic Ties and Cooperation Initiatives

- Development Assistance: India provides Lines of Credit to support key infrastructure projects in Laos, particularly in sectors such as power transmission and irrigation. Additionally, India extends grant assistance through Quick Impact Projects (QIPs), focusing on community development and social welfare.
- Human Resource Development: India actively contributes to capacity building in Laos by offering annual scholarships and training programs under the Indian Technical and Economic Cooperation Programme. Key institutions established with Indian support include the Lao-India Entrepreneurship Development Centre and the Centre for Excellence in Software Development and Training, which play an important role in skill development and entrepreneurship promotion.

Chapter 1: Country Profile of Laos

The Lao People's Democratic Republic (Lao PDR), commonly Laos, is the only landlocked country in Southeast Asia, bordered by China and Myanmar to the north and northwest, Vietnam to the east, Cambodia to the south, and Thailand to the west along the Mekong River. Its capital and largest city is Vientiane. Laos has been a single party socialist republic under the Lao People's Revolutionary Party since 1975 and is a member of ASEAN, the United Nations, the World Trade Organization (since 2013) and the Mekong Ganga Cooperation initiative that links it institutionally to India.

1.1 Geography and Administrative Structure

Laos covers approximately 236,800 square kilometres and is organised into 18 provinces (kroeung) plus the Vientiane Prefecture, each administered by a provincial governor appointed under the central government. The terrain is dominated by mountains and the Mekong River valley; only a small share of land is arable, which shapes both the country's agricultural profile and its reliance on hydropower as a primary economic resource. Major secondary cities include Luang Prabang (a UNESCO World Heritage town and tourism hub), Savannakhet and Pakse (both key nodes on the EastWest Economic Corridor), and Vientiane's satellite industrial areas.

1.2 Population and Labour Force

Population estimates for Laos in the mid2020s range from approximately 7.65 million (U.S. Department of Commerce Market Overview, 2024 data) to approximately 7.97 million (World meter, 2026 projection); the exact figure depends on census year methodology and should be treated as a range rather than a precise count pending the next official Lao census. The population is notably young roughly half is under 25 and 60% under 35 which is a long run demographic asset, but more than two thirds of the workforce remain engaged in agriculture, mostly small-scale subsistence farming, and labour force quality is a binding constraint: employers report persistent shortages of technically skilled workers, and continuing outmigration (chiefly to Thailand) for better wages compounds domestic shortages.

1.3 Currency, Language and Religion

The national currency is the Lao kip (LAK), which has depreciated sharply since 2018 from roughly 9,000 kip to the US dollar in August 2020 to more than 21,500 kip to the dollar by October 2025 (World Bank) a depreciation that has been a principal driver of the country's inflation crisis. Lao is the official language; French retains some administrative and heritage use, and English is increasingly taught as the language of regional and international business.

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Theravada Buddhism is the majority religion and a significant cultural bridge to India, given shared Buddhist heritage and India's role in restoring the Vat Phou temple complex (a UNESCO World Heritage site) under bilateral cooperation.

1.4 Regional and Strategic Position

Laos's government has for two decades pursued a stated ambition to convert the country from "landlocked" to "land linked," using its position at the crossroads of mainland Southeast Asia to become a regional logistics and connectivity hub. The Laos China Railway (Vientiane Boten, opened December 2021 and since extended in service scope) is the most consequential recent infrastructure development, cutting freight and passenger transit times to China and, via connections in Thailand, toward Bangkok and the Gulf of Thailand. The EastWest Economic Corridor (linking Vietnam's Da Nang, through Savannakhet in Laos, to Thailand and Myanmar) and the North South Economic Corridor are the other major regional connectivity arteries running through Lao territory. India regards Laos as strategically significant within its Act East Policy, both as a market in its own right and as a gateway into the wider Mekong subregion and ASEAN.

1.5 Natural Resources

Laos is resource rich relative to its population: hydropower potential exploiting the Mekong and its tributaries; copper, gold, potash, tin, gypsum and other minerals; and substantial forestry and agricultural land suited to cash crops (coffee, rubber, cassava, maize). Mining and hydropower have historically been the two largest drivers of foreign direct investment and export earnings, though both are capital intensive, foreign investor led sectors that generate comparatively limited direct employment.

Table 1.1: Laos Country Snapshot

Attribute	Detail
Official name	Lao People's Democratic Republic (Lao PDR)
Capital	Vientiane
Population	~7.657.97 million (2024-2026 range; confirm against next census)
Administrative units	18 provinces + Vientiane Prefecture
Political system	Single party socialist republic (Lao People's Revolutionary Party)
Currency	Lao Kip (LAK)
Official language	Lao
Majority religion	Theravada Buddhism
ASEAN membership	Member since 1997

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